

Authority for Personal Data
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 The Chairperson of the House of Representatives of the States General
 P.O. Box 20018
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Date

March 14, 2023

Our reference

z2023-01080

Your letter of

January 12, 2023

Subject

Advice on the draft proposal for the Act on Responsible and Sustainable International Business

Dear Ms. Bergkamp,

In your letter dated January 12, 2023, the Authority for Personal Data (AP) was consulted pursuant to the provisions of Article 36, paragraph 4, of the General Data Protection Regulation (GDPR) regarding the draft proposal for the bill by members Van der Graaf, Jasper van Dijk, Thijssen, Van der Lee, Koekkoek, and Hammelburg containing rules for appropriate due diligence in value chains to prevent violations of human rights and the environment in the conduct of foreign trade (Act on Responsible and Sustainable International Business) (hereinafter: the draft).

The AP has several comments on the draft and advises that these be taken into account.

Scope of the draft

The draft aims to establish a minimum standard for internationally responsible business conduct.¹ To this end, the draft imposes the obligation of appropriate due diligence on large enterprises² that carry out activities in a country outside the Netherlands. 'Appropriate due diligence' refers to the ongoing process in which a company investigates, prevents, mitigates, or ceases the potential and actual adverse effects of its activities and those of its business relations³ on human rights and the environment in a country outside the Netherlands, and through which it can account for its approach to those effects as an integral part of its decision-making process and risk management system, in accordance with the principles and standards of the OECD Guidelines for Multinational Enterprises.⁴ The obligation of appropriate due diligence is deemed to be fulfilled if the company applies the following six steps:

1. Policy⁵
2. Investigation⁶
3. Addressing adverse impacts⁷
4. Monitoring⁸
5. Reporting⁹
6. Remediation¹⁰

The Authority for Consumers and Markets (ACM) is tasked with overseeing compliance with this.¹¹ In this context, the ACM is (among other things) authorized to impose an order subject to administrative coercion, an order subject to a penalty payment, and an administrative fine. The decisions to impose these will be made public.¹² Disclosure of a decision occurs in a manner that the decision cannot be traced back to individual natural persons if it can be established prior to disclosure by the ACM that full disclosure would:

- a. disproportionately reveal personal data given the seriousness of the violation;

- b. cause disproportionate harm to these individuals; or
- c. undermine an ongoing criminal investigation or an ongoing investigation by the supervisory authority.¹³

Advice

The AP advises on the processing of personal data. As far as the AP can ascertain, this only concerns the proposed provision regarding the disclosure of personal data. The advice of the AP is therefore limited to this.

3 Business relations: contractor, subcontractor, or other legal entities in its value chain, including state entities, that are in any way involved in the activities of the company, including the financing, insurance, or reinsurance of the company (Article 1.1, under s, of the draft).

Value chain: the entirety of the company's own activities, services, products, production lines, supply chain, customers, as well as the activities of its business relations (Article 1.1, under r, of the draft).

4 Article 1.1, under f, of the draft.

5 Paragraph 2.2 of the draft.

6 Paragraph 2.3 of the draft.

7 Paragraph 2.4 of the draft.

8 Paragraph 2.5 of the draft.

9 Paragraph 2.6 of the draft.

10 Paragraph 2.7 of the draft.

11 Article 3.1.1 of the draft.

12 Article 3.2.1, 3.2.2, and 3.2.3 of the draft.

13 Article 3.2.4, fourth paragraph, of the draft.

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Disclosure of personal data in enforcement and penalty decisions

The draft stipulates that (under certain conditions) personal data may be disclosed in enforcement and penalty decisions. However, the relevant provisions that can be enforced or for which a penalty can be imposed are directed at companies and not at natural persons. Furthermore, the draft or the explanation does not clarify which personal data, from whom, and why may be included in an enforcement or penalty decision.

The AP advises clarifying which personal data, from whom, and why may be included in an enforcement or penalty decision.

Disclosure clauses

The draft designates the ACM as the supervisory authority. In this context, the draft states that Chapter 3 of the Establishment Act of the Authority for Consumers and Markets (Establishment Act ACM) is applicable.¹⁴ This chapter contains (among other things) provisions regarding disclosure, including the disclosure of personal data.¹⁵ The disclosure clauses in the draft are therefore redundant.

The AP advises removing the disclosure clauses from the draft.

Workload of the AP

The AP notes that the draft is not expected to necessitate additional efforts by the AP.

Disclosure of the advice

The AP intends to make this advice public on the website www.autoriteitpersoonsgegevens.nl as soon as the text of the (revised) draft is made public. The AP would appreciate being informed of the expected timing of the disclosure as soon as it is known.

Sincerely,

Authority for Personal Data,

Aleid Wolfsen

Chairman

14 Except for Articles 12j and 12m through 12p of the Establishment Act ACM. Article 3.1.1, third paragraph, of the draft.

15 Articles 12u, 12v, and 12w of the Establishment Act ACM.